

SUITABILITY

Most people do not have the skill or time to identify and invest in individual securities. As a result, irrespective of what assets we want to invest in, mutual funds are suitable for most people as most assets like equities, fixed income assets, commodities, etc . can be bought via a mutual fund ownership scheme. Real estate mutual funds called REITs are also picking up now.

We need to be realistic about our skill and time and decide if we want to pick individual investments or go via mutual funds. In reality, it does not matter, both can be used to meet financial goals. For simplicity, anyone who does not have a bare minimum of 6 hours a week to invest in understanding their investments have should opt for mutual funds. Now we know if mutual funds will be appropriate for us or not. For most people, it will. There are multiple categories of mutual funds. Different categories are suitable for different people. There is no one size fits all. Now we will find out the type of mutual funds perfectly suited for us.

